Unit 9
Scaling and growth

APPROACHES FOR SCALING OF BUSINESS INCLUDING HIRING, PARTNERSHIPS

Scaling and Growth

- A scalable business is a company that can grow without being limited by its structure or resources.
- Scalable businesses can increase revenue faster than costs, and can handle increased demand and workloads without sacrificing efficiency.
- A scalable firm can quickly ramp up production to meet demand and benefit from economies of scale at the same time.
- Scalability has become increasingly relevant as technology has made it easier to acquire more customers and expand markets globally.

Scaling and Growth

Factors of Scalability

Flexible Systems

Talented Team Members

Market Demands

Competitiveness

Financial Resources

Operational Efficiency

Geographical Client locations

- Economies of scale
- Economies of scope
- Market leadership
- Influence, power, and survivability
- Need to accommodate the growth of key customers
- Ability to attract and retain talented employees

FIGURE 13.1
Appropriate Reasons for Firm Growth

Reasons for Firm Growth

Economies of scale are generated when increasing production lowers the average cost of each unit produced. Economies of scale can be created in service firms as well as traditional manufacturing companies.

Economies of scope are similar to economies of scale. With economies of scope, the advantage a firm accrues comes through the scope (or range) of a firm's operations rather than from its scale of production. For example, a company's sales force may be able to sell 10 items more efficiently than 5 because the cost of travel and the salesperson's salary is spread out over 10 products rather than 5.

Reasons for Firm Growth

Market leadership occurs when a firm holds the number one or the number two position in an industry or niche market in terms of sales volume. Many firms work hard to achieve market leadership, to realize economies of scale and economies of scope, and to be recognized as the brand leader. Being the market leader also permits a firm to use slogans such as “Number 1 App in the Apple App Store” in its promotions, helping it win customers and attract talented employees as well as business partners.

Growth of Key Customers Sometimes firms are compelled to grow to accommodate the growth of a key customer. For example, if Intel has a major account with an electronics firm buying a large number of its semiconductor chips, and the electronics firm is growing at a rate of 20 percent per year, Intel may have to add capacity each year to accommodate the growth of its customer or else risk losing some or all of its business.

Reasons for Firm Growth

Attract and retain high-quality personnel

- It is natural for talented employees to want to work for a firm that can offer opportunities for promotion, higher salaries, and increased levels of responsibility.
- Growth is a firm's primary mechanism to generate promotional opportunities for employees, while failing to retain key employees can be very damaging to a firm's growth efforts.
- High turnover is expensive, and in knowledge-based industries in particular, such as biotechnology and software development, a company's number-one asset is the combined talent, training, and experience of its employees.

Reasons for Firm Growth

Influence, Power and Survivability

Larger businesses usually have more influence and power than smaller firms in regard to setting standards for an industry, getting a “foot in the door” with major customers and suppliers, and garnering prestige. In addition, larger businesses can typically make a mistake yet survive more easily than entrepreneurial ventures. Commenting on this issue, Jack Welch, GE’s former CEO, once said, “Size gives us another big advantage; our reach and resources enable us to go to bat more frequently, to take more swings, to experiment more, and unlike a small company, we can miss on occasion and get to swing again.”

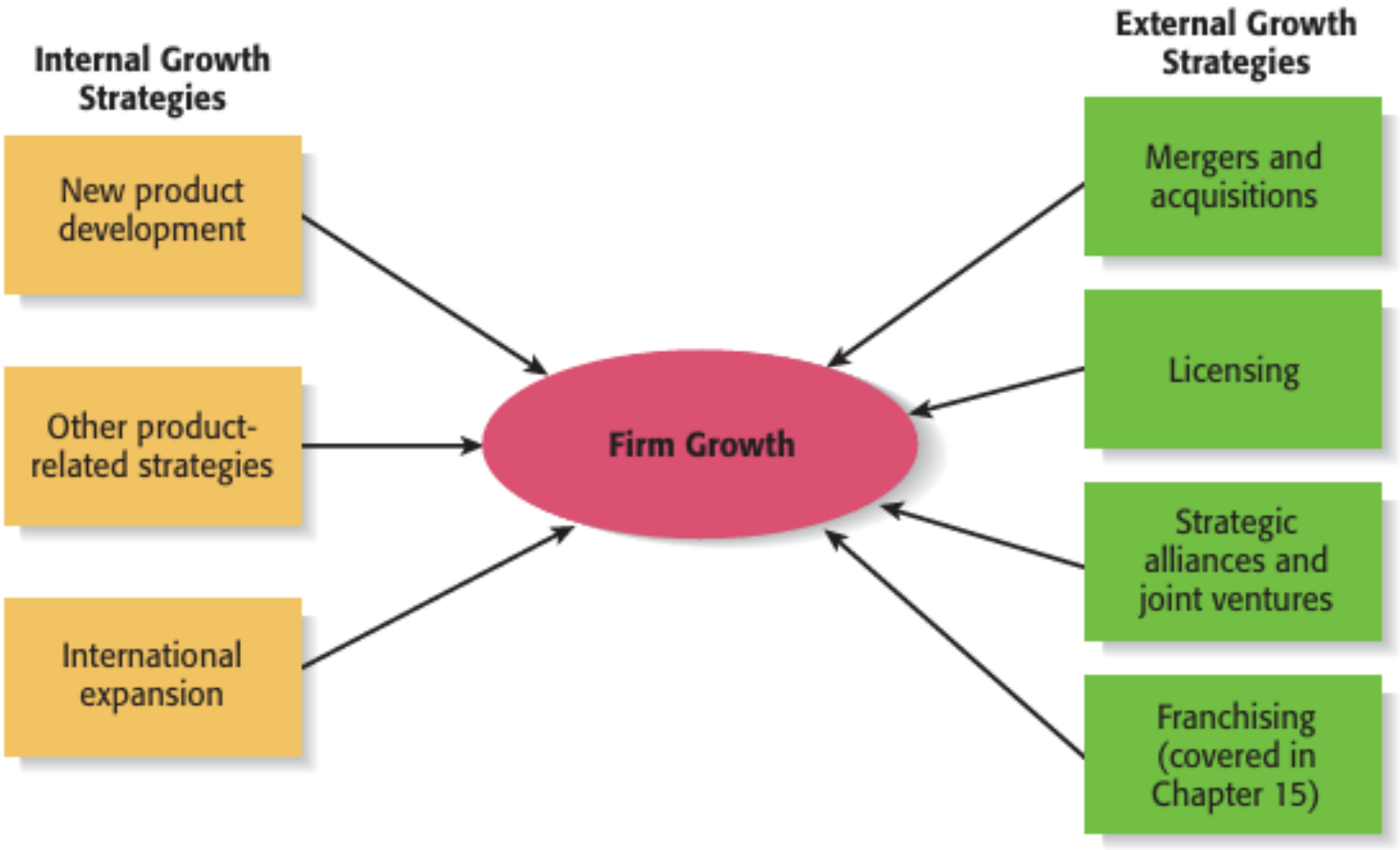


FIGURE 14.1
Internal and External Growth Strategies

Additional Internal Product Growth Strategies

Improving an Existing Product or Service

Increasing Market Penetration of an existing Product or service

Extending Product Lines

Geographic Expansion

Foreign Market Entry Strategies

Exporting

Licensing

Joint Ventures

Franchising

Turnkey Projects

Foreign Direct Investment

Exporting:

- Exporting is a typically the easiest way to enter an international market, and therefore most firms begin their international expansion using this model of entry.
- Exporting is the sale of products and services in foreign countries that are sourced from the home country.
- It is traditional and well established method of entering foreign markets.
- It involves use of marketing channels to reach to the buyers in foreign market.
- Exporting may be direct or indirect.

Exporting:

Direct Exporting:

- A company capitalizing on economies of scale in production concentrated in the home country, and affording better control over distribution
- It establishes a proper system for organizing export functions and procuring foreign sales.
- There are no intermediaries
- It works best if the export volumes are small.

Indirect Exporting:

- It involves exporting through domestically based export intermediaries.
- The exporter has no control over his product in the foreign market.

Exporting:

Advantages:

- It helps in distribution of surplus
- It is less costly
- It is less risky
- Under direct export the exporter has control over selection of market
- It helps in fast market access

Disadvantages:

- High start of cost in case of direct exports
- The exporter has little or no control over distribution of products

Franchising

- A system in which semi-independent business owners (franchisees) pay fees and royalties to a parent company (franchiser) in return for the right to become identified with its trademark, to sell its products or services, and often to use its business format and system.
- Franchising agreements tends to be longer and the franchisor offers a broader package of rights and resources which usually includes: equipment, managerial systems, operation manual, initial trainings, site approval and all the support necessary for the franchisee to run its business in the same way it is done by the franchisor.

Franchising

- While a licensing agreement involves things such as intellectual property, trade secrets and others while in franchising it is limited to trademarks and operating know-how of the business.
- Franchising is the main entry mode for service industry.
- When considering using the franchise model your business model should either be very unique or have strong brand recognition that can be utilized internationally
- Pizza Hut, KFC, McDonald's, Burger kings are some examples of popular franchisors over the world.

Franchising

Advantages:

- Low political risk
- Low cost
- Allows simultaneous expansion into different regions of the world
- Well selected partners bring financial investment as well as managerial capabilities to the operation.

Disadvantages:

- Maintaining control over franchisee may be difficult
- Conflicts with franchisee are likely, including legal disputes
- Preserving franchisor's image in the foreign market may be challenging
- Requires monitoring and evaluating performance of franchisees, and providing ongoing assistance
- Franchisees may take advantage of acquired knowledge and become competitors in the future

TABLE 15.5 Questions to Ask Before Buying a Franchise

Questions to Ask a Franchisor

- What is the background of the company and its performance record?
- What is the company's current financial status?
- What are the names, addresses, and phone numbers of existing franchisees in my trade area?
- How do you train and mentor your franchisees?
- If at some point I decide to exit the franchise relationship, how does the exit process work?
- In what ways do you work with a franchisee who is struggling?

Questions to Ask Current Franchisees

- How much does your franchise gross per year? How much does it net? Are the procedures followed to make royalty payments to the franchisee burdensome?
- Are the financial projections of revenues, expenses, and profits that the franchisor provided me accurate in your judgment?
- Does the franchisor give you enough assistance in operating your business?
- How many hours, on average, do you work per week?
- How often are you able to take a vacation?
- Have you been caught off-guard by any unexpected costs or expectations?
- Does your franchisor provide ongoing training and support to you?
- If you had to do it all over again, would you purchase a franchise in this system? Why or why not?

Licensing

- An international licensing agreement allows foreign firms, either exclusively or non-exclusively to manufacture a proprietor's product for a fixed term in a specific market.
- A licensor in the home country makes limited rights or resources available to the licensee in the host country.
- The rights or resources may include patents, trademarks, managerial skills, technology, and others.
- The license makes it possible for the licensee to manufacture and sell in the host country a similar product to the one the licensor has already been producing and selling in the home country without requiring the licensor to open a new operation overseas

Licensing

The terms of a license are spelled out through a licensing agreement, which is a formal contract between a licensor and a licensee.

The licensor is the company that owns the intellectual property; the licensee is the company purchasing the right to use it.

A license can be exclusive, nonexclusive, for a specific purpose, and for a specific geographic area.

In almost all cases, the licensee pays the licensor an initial payment plus an ongoing royalty for the right to use the intellectual property.

There is no set formula for determining the amount of the initial payment or the royalties—these are issues that are part of the process of negotiating a licensing agreement.

Licensing

- The licensor earnings usually take forms of one time payments, technical fees and royalty payments usually calculated as a percentage of sales.
- Licensing is a relatively flexible work agreement that can be customized to fit the needs and interests of both, licensor and licensee.
- Licensing is a lower-risk entry mode and permits access to global markets.
- Example: Coco-Cola supplies the formula syrup to bottlers Nepal Ltd, a licensee. As a licensor, the Coca-Cola Co.(headquartered at Atlanta, USA) has the license agreement with Nepali company.

Licensing

Advantages:

- Obtain extra income for technical know-how and services
- Reach new markets not accessible by export from existing facilities
- Quickly expand without much risk and large capital investment
- Pave the way for future investments in the market
- Retain established markets closed by trade restrictions
- Political risk is minimized as the licensee is usually 100% locally owned
- Is highly attractive for companies that are new in international business.

Disadvantages:

- Lower income than in other entry modes
- Loss of control of the licensee manufacture and marketing operations and practices leading to loss of quality
- Risk of having the trademark and reputation ruined by an incompetent partner

Licensing Versus Franchising

While both licensing and franchising involve sharing brand elements for a fee, the key difference is that franchising grants much more control over the business operations to the "franchisor" by providing a complete business model, while licensing only allows the "licensee" to use specific intellectual property like trademarks with greater operational freedom within defined parameters.

Differences between Franchising and Licensing

Points of Difference	Licensing	Franchising
Meaning	Company (licensor) sells the right to use intellectual property or produce a company's product to the licensee, for royalty	Franchisor permits franchisees to use a business model or brand name for a fee, to conduct business, as an independent branch of the parent company (franchisor)
Type of Business	Deals with products and goods like software, patented technologies, etc.	Related to service businesses like food chains, service centers of automobiles, etc.
Governed by	Contract Law	Regulated by federal and state franchise laws
Ownership/Control	Licensor controls the use of the intellectual property by the licensee, but has no control over the licensee's business.	Franchise agreements are broader and control how a business operates.
Process	The licensor's obligation is only a one-time transfer of right	The franchisor needs to continue to provide support in order for the business to continue.
Training	Not provided	Provided
Fee/Payment	Negotiable	Standard

Turnkey Projects

- A turnkey project refers to a project when clients pay contractors to design and construct new facilities and train personnel.
- A turnkey project is a way for a foreign company to export its process and technology to other countries by building a plant in that country.
- Industrial companies that specialize in complex production technologies normally use turnkey projects as an entry strategy.

Turnkey Projects

- Major advantages is the possibility for a company to establish a plant and earn profits in a foreign country especially in which foreign direct investment opportunities are limited and lack of expertise in a specific area exists.
- Potential disadvantages include risk of revealing companies secrets to rivals, and takeover of their plant by the host country.
- Entering a market with a turnkey project can prove that a company has no long-term interest in the country which can become a disadvantage if the country proves to be the main market for the output of the exported process.

Manufacturing(Contract)

- Contract Manufacturing is a strategy of foreign market entry via a cooperation on a contractual basis between a domestic company (OEM) and an independent contract manufacturer in the country to enter, without capital engagement.
- The manufacturer is only transferred the know-how to take over certain steps or even the entire production of goods and, possibly, logistics (stocking and dispatch) exclusively for the OEM, while research & design, marketing and distribution activities remain with the latter.
- he initial idea behind contract manufacturing has been to achieve production cost advantages[7] by shifting to specialists all those manufacturing processes that do not belong to the key capabilities.

Management Contracts

- A management contract is an arrangement under which operational control of an enterprise is vested by contract in a separate enterprise that performs the necessary managerial functions in return for a fee.
- Management contracts involve not just selling a method of doing things (as with franchising or licensing)but involve actually doing them.
- Involves a wide range of functions, such as technical operation and of a production facility, management of personnel, accounting, marketing services and training.
- Management contracts are often formed where there is a lack of local skills to run a project.
- It is an alternative to FDI as it does not involve as high risk and can yield higher returns for the company

Management Contracts

Advantages:

- Management contracts gives businessman an assurance of the continuity of his business.
- Can venture international business opportunities without taking a huge risk of putting his own physical assets at stake.
- Government uses management contracts for the progress and development of the skill of the local managers and workers.

Disadvantages:

- When a businessman handover his company's management to a third party, he may enter into confidential disputes.
- Hiring an outside contractor makes it difficult for the business to foresee the number of conflicts that can occur
- There can be even more conflicts when the same management company handles the management of several competitors at same time

Foreign Direct Investment

- Mode of entering foreign market through investment
- Investment may be direct or indirectly through Financial Institutions.
- It influences the investment pattern of the economy and helps to increase overall development
- The extent to which FDI is allowed in a country is subjected to the government regulations of that country.
- It can be done by purchasing shares of company, property and assets.

Foreign Direct Investment

Advantages:

- Modifications can be made at any point of time
- It is an easy mode of entry.

Disadvantages:

- The government policies may not be helpful
- The return on investment may be low

Types of FDI

- **Horizontal** – In case of horizontal FDI, the company does all the same activities abroad as at home. For example, Toyota assembles motor cars in Japan and the UK.
- **Vertical** – In vertical assignments, different types of activities are carried out abroad. the FDI brings the company nearer to a market (for example, Toyota buying a car distributorship in America)
- **Conglomerate** – In this type of investment, the investment is made to acquire an unrelated business abroad. It is the most surprising form of FDI, as it requires overcoming two barriers simultaneously – one, entering a foreign country and two, working in a new industry.

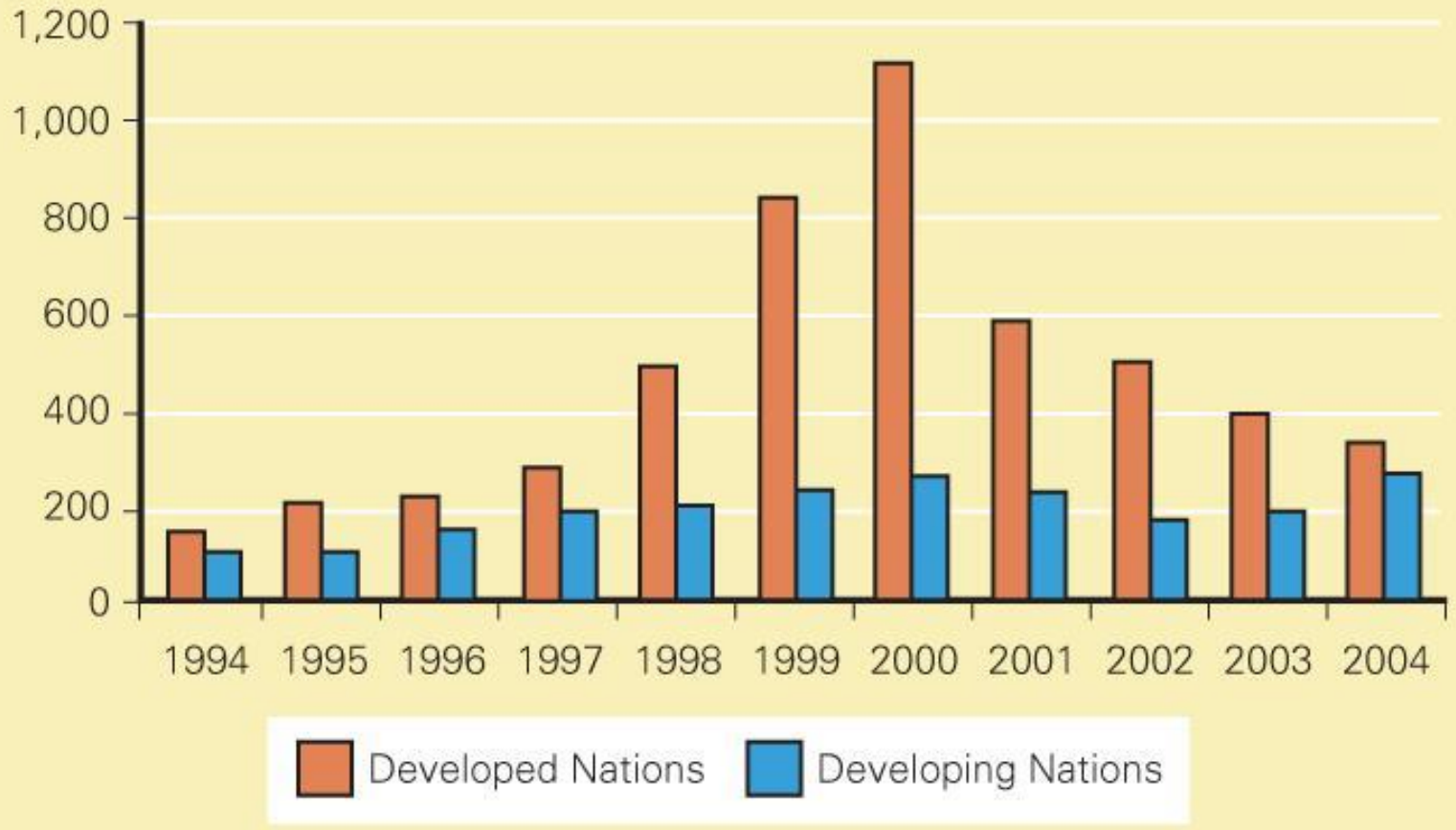
Trend of FDI

- Flow and stock increased in the last 20 years
- In spite of decline of trade barriers, FDI has grown more rapidly than world trade because
  - Businesses fear protectionist pressures
  - **FDI is seen a a way of circumventing trade barriers**
  - **Dramatic political and economic changes in many parts of the world**
  - Globalization of the world economy has raised the vision of firms who now see the entire world as their market

Direction of FDI

- Historically, most FDI has been directed at the developed nations of the world as firms based in advanced countries invested in other markets
  - The US has been the favorite target for FDI inflows
- While developed nations still account for the largest share of FDI inflows, FDI into developing nations has increased
  - Most recent inflows into developing nations have been targeted at the emerging economies of South, East, and Southeast Asia

FDI Flow by Region



Mergers and Acquisition

- **A merger** is a combination of two or more distinct entities into one. The desired effect being accumulation of assets and liabilities of distinct entities and several other benefits such ad economies of scale, tax benefits, fast growth, synergy and diversification etc. The merging entities cease to be in existence and merge into a single servicing entity.

Acquisition:

- Acquisition implies acquiring controlling interest in a company by another company.
- An acquisition is the outright purchase of one firm by another. In an acquisition, the surviving firm is called the acquirer, and the firm that is acquired is called the target.
- entrepreneurial firms are more commonly involved with acquisitions than mergers.
- Acquisition is attractive if there are well established firms already in operations or competitors want to enter the region.

Acquisition

- Acquiring another business can fulfill several of a company's needs, such as expanding its product line, gaining access to distribution channels, achieving economies of scale, gaining access to technology that will enhance its current offerings, or gaining access to talented employees. In most cases, a firm acquires a competitor or a company that has a product line or core competence that it needs.
- For example, in 2012 Facebook acquired Instagram as a way of enhancing its photo sharing capabilities.
- Similarly, in 2014 Twitter acquired a company called TapCommerce to bolster its capabilities in mobile advertising.

Acquisition:

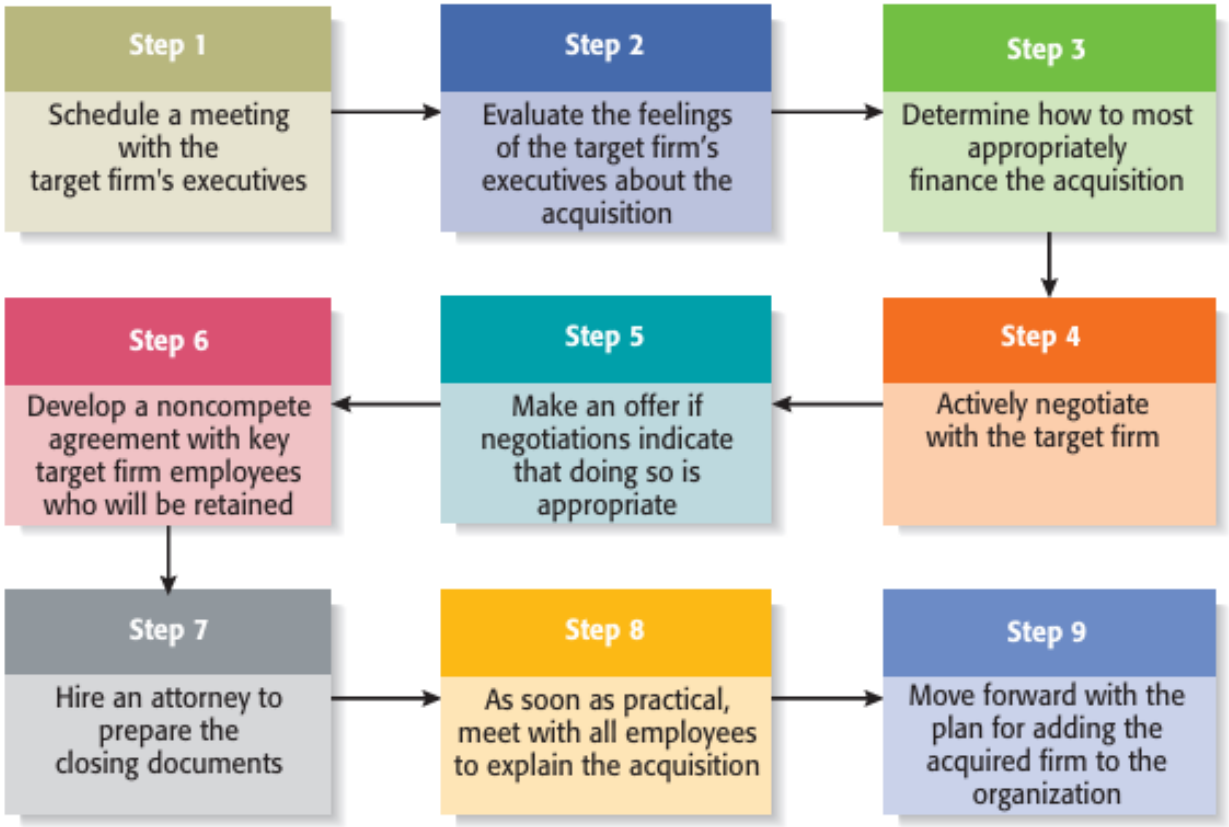
Disadvantages

- Integrating two organizations can be quite difficult due to different organization cultures, control system, and relationships
- By applying acquisitions, some companies significantly increased their levels of debt which can have negative effects on the firms
- Too much diversification may cause problems

Key areas to focus on Acquiring another firm

- The target firm's openness to the idea of being acquired and its ability to receive consent for its acquisition from key third parties. The third parties from whom consent may be required include bankers, investors, suppliers, employees, and key customers.
- The strength of the target firm's management team, its industry, and its physical proximity to the acquiring firm's headquarters.
- The perceived compatibility of the target company's top management team and corporate culture with the acquiring firm's top management team and corporate culture.
- The target firm's past and projected financial performance.
- The likelihood the target firm will retain its key employees and customers if acquired.
- The identification of any legal complications that might impede the purchase of the target firm and the extent to which patents, trademarks, and copyrights protect the firm's intellectual property.
- The extent to which the acquiring firm understands the business and industry of the target firm.

FIGURE 14.2
The Process of Completing the Acquisition of Another Firm



Acquisition

- Some entrepreneurs allow their companies to be bought by larger firms as a way of accelerating their growth.
- For example, in 2008 Honest Tea sold a large stake of itself to Coca-Cola, primarily as a means of integrating itself into Coke's worldwide distribution channels.
- Coke is now providing Honest Tea access to markets it could have never penetrated on its own

Joint Ventures

- A joint venture is a business entity created by two or more parties, generally characterized by shared ownership, shared returns and risks and shared governance.
- Particular form of partnership that involves the creation of a third independently managed company.
- Two companies agree to work together in a particular market, either geographic or product, and create a third company to undertake this
- The key issues to consider in a joint venture are ownership, control, length of agreement, pricing, technology transfer, local firm capabilities and resources, and government intentions.

Joint Ventures

- A joint venture is an entity created when two or more firms pool a portion of their resources to create a separate, jointly owned organization.
- An example is Beverage Partners Worldwide, which is a joint venture between Coca-Cola and Nestlé. Formed in 1991, the joint venture markets ready-to-drink chilled teas based on green tea and black tea in more than 50 countries worldwide.

Joint Ventures

Advantages:

- A small amount investment
- Better understanding of the host country
- Typically 50/50 with a team of managers to share operating control.
- Benefits from local partner's knowledge of competitive conditions, culture, language, political system and business system
- Sharing market development costs and risks with local partner

Joint Ventures

Disadvantages

- Conflict over asymmetric new investments
- Mistrust over proprietary knowledge
- Performance ambiguity - how to split the pie
- Lack of parent firm support
- Cultural clashes
- If, how, and when to terminate the relationship

Strategic Alliance

- Strategic alliance is a type of cooperative agreements between different firms, such as shared research, formal joint ventures, or minority equity participation.[The modern form of strategic alliances is becoming increasingly popular
- A strategic alliance is a partnership between two or more firms that is developed to achieve a specific goal.
- Various studies show that participation in alliances can boost a firm's rate of patenting, product innovation, and foreign sales.
- Alliances tend to be informal and do not involve the creation of a new entity (such as in a joint venture).
- Although en gaging in alliances can be tremendously helpful for an entrepreneurial firm, setting up an alliance and making it work can be tricky.

Strategic Alliance

Technological alliances feature cooperation in research and development, engineering, and manufacturing. Research-and development alliances often bring together entrepreneurial firms with specific technical skills and larger, more mature firms with experience in development and marketing. By pooling their complementary assets, these firms can typically produce a product and bring it to market faster and cheaper than either firm could alone.24 Pfizer's blockbuster drug Celebrex, for example, was created via a technological alliance. Celebrex is a prescription arthritis medicine.

Marketing alliances typically match a company that has a distribution system with a company that has a product to sell in order to increase sales of a product or service. For example, an American food company may initiate an alliance with Nestlé (a Swiss food company) to gain access to Nestlé's distribution channels in Europe.

Strategic Alliance

- **Characteristics:**

They are frequently between firms in industrialized nations.

The focus is often on creating new products and/or technologies rather than distributing existing ones.

They are often only created for short term duration, non equity based agreement in which companies are separated and are independent.

Strategic Alliance

Advantages:

- Technology exchange
- Economies of Scale and reduction of risk
- Increase market share for a product.
- Industry convergence.
- Key to achieve global competence.
- Alliance as an alternative to merger.

Disadvantages:

- Difficult to find a good partner
- Risk of unequal partnership
- Loss of control
- Relationship management across borders

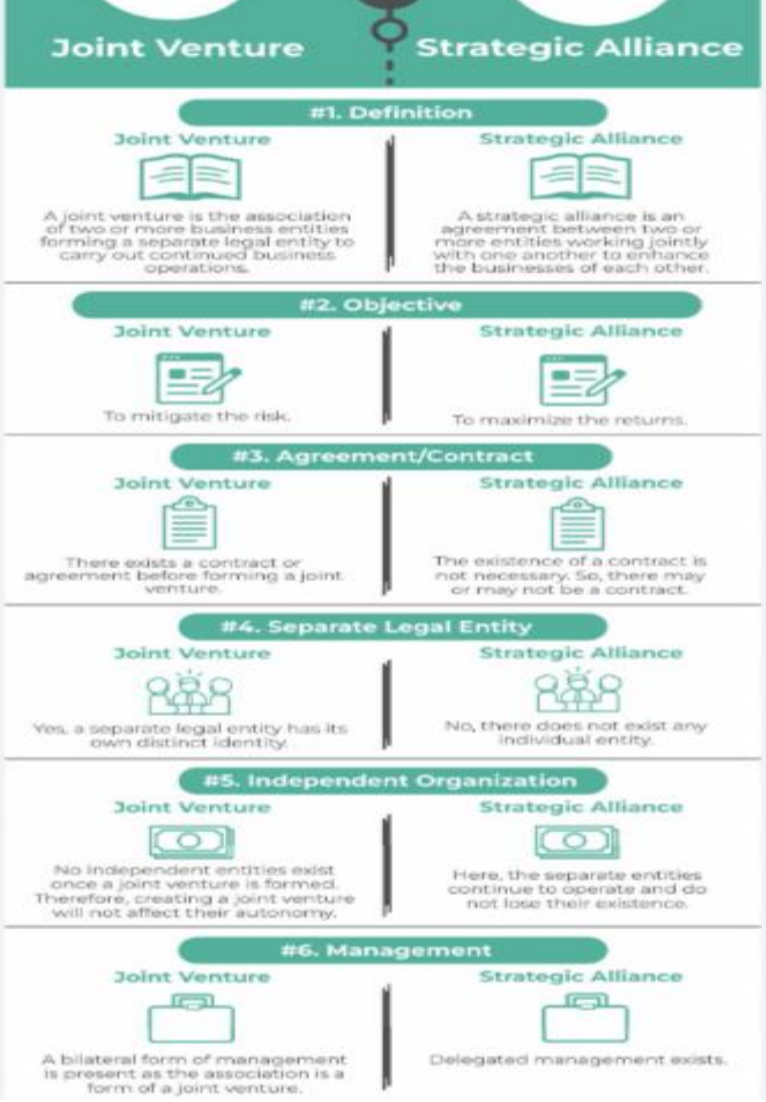

Joint Venture
Strategic Alliance
#1. Definition
Joint Venture
A joint venture is the association of two or more business entities forming a separate legal entity to carry out continued business operations.
Strategic Alliance
A strategic alliance is an agreement between two or more entities working jointly with one another to enhance the businesses of each other.
#2. Objective
Joint Venture
To mitigate the risk.
Strategic Alliance
To maximize the returns.
#3. Agreement/Contract
Joint Venture
There exists a contract or agreement before forming a joint venture.
Strategic Alliance
The existence of a contract is not necessary. So, there may or may not be a contract.
#4. Separate Legal Entity
Joint Venture
Yes, a separate legal entity has its own distinct identity.
Strategic Alliance
No, there does not exist any individual entity.
#5. Independent Organization
Joint Venture
No independent entities exist once a joint venture is formed. Therefore, creating a joint venture will not affect their autonomy.
Strategic Alliance
Here, the separate entities continue to operate and do not lose their existence.
#6. Management
Joint Venture
A bilateral form of management is present as the association is a form of a joint venture.
Strategic Alliance
Delegated management exists.

TABLE 14.6 Advantages and Disadvantages of Participating in Strategic Alliances and Joint Ventures

Advantages	Disadvantages
Gain access to a particular resource. Firms engage in strategic alliances and joint ventures to gain access to a particular resource, such as capital, employees with specialized skills, or modern production facilities.	**Loss of proprietary information.** Proprietary information can be lost to a partner who is already a competitor or will eventually become one. This is a common worry.
Economies of scale. In many industries, high fixed costs require firms to find partners to expand production volume as a means of developing economies of scale.	**Management complexities.** Because strategic alliances and joint ventures require the combined effort of two or more firms, managing them can be challenging. Frustrations and costly delays often occur as a result.
Risk and cost sharing. Strategic alliances and joint ventures allow two or more firms to share the risk and cost of a particular business endeavor.	**Financial and organizational risks.** The failure rate for strategic alliances and joint ventures is high.
Gain access to a foreign market. Partnering with a local company is often the only practical way to gain access to a foreign market.	**Risk becoming dependent on a partner.** A power imbalance arises if one partner becomes overly dependent on the other. This situation increases the potential for opportunism on the part of the stronger partner. Opportunistic behavior takes advantage of a partner.
Learning. Strategic alliances and joint ventures often provide the participants the opportunity to learn from their partners.	**Partial loss of decision autonomy.** Joint planning and decision making may result in a loss of decision autonomy.
Speed to market. Firms with complementary skills, such as one firm being technologically strong and another having strong market access, partner to increase speed to market in hopes of capturing first-mover advantages.	**Partners' cultures may clash.** The corporate cultures of alliance partners may clash, making the implementation and management of the alliance difficult.
Neutralizing or blocking competitors. Through strategic alliances and joint ventures, firms can gain competencies and market power that can be used to neutralize or block a competitor's actions.	**Loss of organizational flexibility.** Establishing a partnership with one firm may foreclose the possibility of establishing a partnership with another firm.

TABLE 14.4 Primary Advantages and Disadvantages of Various Foreign-Market Entry Strategies

Foreign-Market Entry Strategy	Primary Advantage	Primary Disadvantage
Exporting. Exporting is the process of producing a product at home and shipping it to a foreign market. Most entrepreneurial firms begin their international involvement as exporters.	Exporting is a relatively inexpensive way for a firm to become involved in foreign markets.	High transportation costs can make exporting uneconomical, particularly for bulky products.
Licensing. A licensing agreement is an arrangement whereby a firm with the proprietary rights to a product grants permission to another firm to manufacture that product for specified royalties or other payments. Proprietary services and processes can also be licensed.	The licensee puts up most of the capital needed to establish the overseas operation.	A firm in effect "teaches" a foreign company how to produce its proprietary product. Eventually, the foreign company will probably break away and start producing a variation of the product on its own.
Joint ventures. A joint venture involves the establishment of a firm that is jointly owned by two or more otherwise independent firms. Fuji-Xerox, founded in 1962, for example, is a joint venture between an American and a Japanese firm.	Gaining access to the foreign partner's knowledge of local customs and market preferences.	A firm loses partial control of its business operations.
Franchising. A franchise is an agreement between a franchisor (the parent company that has a proprietary product, service, or business method) and a franchisee (an individual or firm that is willing to pay the franchisor a fee for the right to sell its product, service, and/or use its business method). U.S. firms can sell franchises in foreign markets, with the reverse being true as well.	The franchisee puts up the majority of capital needed to operate in the foreign market.	Quality control.
Turnkey projects. In a turnkey project, a contractor from one country builds a facility in another country, trains the personnel that will operate the facility, and *turns* over the *keys* to the project when it is completed and ready to operate.	Ability to generate revenue.	It is usually a one-time activity, and the relationships that are established in a foreign market may not be valuable to facilitate future projects.
Wholly owned subsidiary. A firm that establishes a wholly owned subsidiary in a foreign country has typically made the decision to manufacture in the foreign country and establish a permanent presence.	Provides a firm total control over its foreign operations.	The cost of setting up and maintaining a manufacturing facility and permanent presence in a foreign country can be high.

Partnership

TABLE 4.4 The Most Common Types of Business Partnerships

Partnership Form	Description
Joint venture	An entity created by two or more firms pooling a portion of their resources to create a separate, jointly-owned organization
Network	A hub-and-wheel configuration with a local firm at the hub organizing the interdependencies of a complex array of firms
Consortia	A group of organizations with similar needs that band together to create a new entity to address those needs
Strategic alliance	An arrangement between two or more firms that establishes an exchange relationship but has no joint ownership involved
Trade associations	Organizations (typically nonprofit) that are formed by firms in the same industry to collect and disseminate trade information, offer legal and technical advice, furnish industry-related training, and provide a platform for collective lobbying

Source: B. Barringer and J. S. Harrison, "Walking a Tightrope: Creating Value Through Interorganizational Relationships," *Journal of Management* 26, no. 3 (2000): 367–403.

Hiring Strategies

Hiring Specialists for Key Roles

Hiring for Leadership Roles

Outsourcing or Contract Work(Freelancing or Agencies)

Hiring Local Teams when Expanding

Training or Internship Programs

Hiring Customer Support team

Hiring Strategies

Hiring Specialists for Key Roles

- A startup that initially relied on a generalist team hires specialists to handle specific aspects of the business (e.g., marketing, operations, or technology).
- Specialized hires improve efficiency and address pain points that generalists may not have the skills to handle at scale.

Hiring for Leadership Roles

- Bringing in senior leaders to strengthen the company's vision and strategy.
- A small retail brand hires a **Chief Operating Officer (COO)** to streamline supply chain management as they expand into new markets.
- Leadership hires bring experience in scaling operations and provide stability during rapid growth phases.

Hiring Strategies

Outsourcing or Contract Work(Freelancing or Agencies)

- Hiring local teams when expanding to new geographies.
- A food delivery startup entering a new city hires local sales teams to onboard restaurants and a regional manager to oversee operations.
- Local hires bring market knowledge and cultural insights, helping the business establish a strong foothold

Hiring Local Teams when Expanding

- Establishing an internship or training program to cultivate future employees.
- A manufacturing company partners with universities to recruit engineering students into rotational programs.
- Early-stage talent pipelines ensure a steady flow of trained employees who are aligned with the company’s culture and needs.

Hiring Strategies

Training or Internship Programs

- Establishing an internship or training program to cultivate future employees.
- A manufacturing company partners with universities to recruit engineering students into rotational programs.

Hiring Customer Support team

- Scaling customer-facing teams to maintain service quality during growth.
- A SaaS business hires a global customer support team to offer 24/7 assistance.
- Increased customer satisfaction supports retention and brand loyalty as the customer base grows.

Hiring Strategies

Technology Driven Hiring

- Using technology to attract and manage talent.
- Example: A logistics company invests in Applicant Tracking Systems (ATS) and recruitment software to streamline the hiring of delivery drivers.
- It results in efficient tech tools allow businesses to scale hiring quickly without compromising quality.

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